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MEMORANDUM

TO: Mike Santowski

FROM: Michael Pheney

CC:

DATE: June 6, 2011

SUBJECT: May Monthly Report – Pharmaceutical Supply Chain Operations

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Transportation

- Dan attended the Domestic SABR in Mansfield which had representatives from our 3 major domestic carriers: Fed Ex, Swift and Old Dominion. There will be no truckload RFQ in 2011.
- Cathy attended the International SABR in Dublin, Ireland. Carriers represented were: UTi, UPS-SCS, Panalpina, K+N and Nippon. Service and Compliance issues and successes for the Pharmaceuticals GBU were reviewed for the specific suppliers. Major take-aways were to become more involved on Ex-Works shipments, validate that our critical customer lanes are being tracked in E-smart, and to have follow-up meetings with UTi and Nippon who are not used on many Pharmaceutical shipments.
- The Covidien Global Air RFQ will launch in February and the Ocean in April, 2012. At this time, firm pricing will be set for only 6 months.
- Erin rolled out the new Pharma Transportation Pulse Connect Site. The site will be used to centrally store reports and tools for forecasts, budgets, and variance reporting.
- The final changes to the commercial invoice are now in place including the company name appearing in the pick- up address. This additional information should clear up some confusion on international BOL's and incorrect pricing and charges by IPS.
- We had our first Export KPI review with Kuehne and Nagel with all of the Covidien Trade Compliance Team. K+N, our largest provider has been reluctant to provide the required information for tracking the timeliness and accuracy of AES information. Their current accuracy has been at the lowest of the providers that we track. They have now committed resources to provide the required information and to have a monthly review.
- We are half way through our Trade Compliance Risk Assessment which covers both imports and exports. We will complete and then grade ourselves by the end of June.

- **Domestic On-Time Delivery**: (April)

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By Mode	Shipments (#)	On-Time Shipments	Late Shipments	On-Time Ratio
Small Pkg Ground	3,450	3,443	7	99.80%
Small Pkg Air	12,687	12,500	187	98.53%
LTL	526	512	14	97.34%
TL	103	100	3	97.09%
Heavy Air	8	8	0	100%
Total	16,774	16,563	211	99%

Weather continued to be the major cause for late small package deliveries during April. Old Dominion service slipped below 98% during April due to numerous issues. Late deliveries for TL carriers were split between Swift and Crete.

Imaging:

- Dan updated the rate guide for Urology Suites used by Imaging Marketing for pricing orders. The last revision was done in 2005.
- Tob has made another appeal to US Customs for Duty Drawback on the Ioversol content of Optiray. Our first request was rejected due to the two different grades of product. Our current appeal is based on the interchangeability of the product for producing Optiray for US / Raleigh based export customers.

Pharma

- Panalpina is finally paying our 2010 ($1.1K) claim for customs storage fees due to their incorrect paperwork.
- Conway Transportation's headquarters in Joplin, MO suffered considerable damage due to the tornados with several people in their office not yet found. Despite this tragic event, they have retained their high level of service to our Raleigh, Gateway and Greenville facilities.

Financial Review: (preliminary results from May)

May 2011	Pharma Prods.	Contrast Media	Nuclear Medicine	Month Totals		All Prods. YTD Total
In Freight						
Actual	(72,140)	150,373		78,233		1,567,469
Plan	199,662	91,667		255,066		1,699,688
Out Freight						
Actual	1,090,434	269,742	1,769,264	3,129,440		21,020,060
Plan	1,216,082	434,602	1,730,769	3,381,453		23,530,178
Total Freight	1,018,294	420,115	1,769,264	3,207,673		22,587,529
Total Plan	1,415,744	526,269	1,730,769	3,672,782		25,229,866

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Distribution Operations Executive Summary:

- Cleveland/Detroit charter to ground conversion made May 1st, only minor issues
- FDA inspection of Maryland Heights conducted May 9th thru 20th
- Chalk River reactor down on May 16th supplying Lantheus. Expect increased generator volume over coming weeks
- Cincinnati/Project Tug progressing well. Racking layout complete awaiting CER approval
- Air shipments of Disposables out of Cincinnati down significantly to EMEA
- Dosage/Imaging change to ASN progressing-Change to meet customer requirements for McKesson & Cardinal
- Noscapine project to move distribution from Gateway back to B-5 STLP implemented May 13th
- DEA audit of Distributor and Exporter Registrations conducted in Hobart, 100% reconciliation of 26,000+ transactions
- Rose Adams and Eileen Spaulding attended the HDMA Supply Chain Management conference in Alexandria, VA
- Operations continuing to support projects Shelbourne, Cheetah, Canada Methadone, Toshiba Devices and Tug
- Welcome to summer intern Katie Disterhoff, Chemical Engineering student at Washington, University
- Midyear reviews complete
- Jim Cato has accepted the position of Senior Supply Chain Analyst
- Interviews on-going to fill open positions within Distribution Operations

FY 11 Summary Distribution Spend:

Financials-Performance to Budget FY11

	Apr-Actual	Budget	Variance	YTD Variance
Hobart	$ 247,250	$ 356.397	$ 109,147	$ 337,678
Raleigh-Pharma	$ 123,514	$ 125,635	$ 2,121	$ 26,081
Greenville	$ 52,363	$ 56,843	$ 4,480	$ 16,500
Gateway	$ 80,975	$ 101,485	$ 20,510	$ 13,798
Joliet-Imaging	$ 106,661	$ 135,154	$ 28,493	$ 352,289
Cincinnati	$ 66,743	$ 52,645	$ 14,098	$ 115,753

FY 11 System Capacity Utilization

Generic/Specialty Dosage

Hobart DC	Capacity		JDE		BPCS		Total		% Utilized
Vault	6006		928		393		1321		22%

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Cage	2806		963		370		1333	48%
Non-Controlled	640		256		0		256	40%
Bulk API								
Raleigh-Pharma	Capacity		JDE		BPCS		Total	% Utilized
Drums-Pallets	3992		2014		387		2401	60%
SS-Pallets	1870		898		337		1235	66%
Gateway-Pallets	1300		48		0		0	4%
Greenville	Capacity		JDE		BPCS		Total	% Utilized
Drums-Pallets	2914		2066		719		2785	96%
Gateway-Pallets	1300		100		0		100	8%
Gateway	Capacity		JDE		BPCS		Total	% Utilized
Pallets-Pallets	10500		2600		0		2600	27%

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API Europe Business Support

- The site was successful in increasing our QIP score by .2 points as required.

API Europe Business Support

- Customer Segmentation Strategy
  - True Bronze customers have been identified by the Sales team.
  - Jonna to prepare a presentation to be provided to the Customer Service Team confirming the data that will be provided to them to assist in a smooth transition to looking after Bronze customers for the EMEA teams.
  - Meeting scheduled with Rachel, Alan, Jonna, Lisa and Alex to discuss JDE capability that may help us within Customer master data and pricing.
- The Credit Control function will be supported by US staff from July 2011. Rachel Dennis is coordinating the transition.

API Europe Trade Compliance

- Brokerage KPIs – Replenishment Order Imports – April 2011
  - All suppliers 100%
- Meeting scheduled for 3rd June with KN to include discussions on the Finance teams request for a post entry to be made on the overpayment of VAT.
- Rachel Dennis has followed up on the new UK Anti-Bribery 2010 requirements with other controllers and no local action is to take place until we receive further details.
- **The Finance team has a deadline of 24th June to have documented procedures to support VAT compliance. This does include the HMRC requirements we are involved in. These elements will be made a priority for the team in June.**
  - Evidence of Export to support zero rated VAT
  - Valuation
  - Duty and VAT calculations (UK Import Audit Tool)
- Meetings with Finance have resulted in agreement on roles and responsibilities and document requirements for Evidence of Export for shipments to Non-EU and EU destination.

  Through the meetings we have identified opportunities to improve and streamline requirements for Evidence of Export to the Non-EU destinations and that we need to work with our freight suppliers on documents that evidence goods have left the EU. Meetings are being scheduled with KN and DSV to clarify and improve our processes.

  Logistics requirements to support zero rating VAT for EU movements are very little and mostly follow standard procedures. Finance will take the responsibility for documenting these requirements.
- The principals for our correct Valuation of goods have been agreed allowing Alex to

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API Europe Planning & Warehousing

- Month end pallet count at 2546 against a target safety stock of 2672.

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- UK Leigh Back Order target: < $300k.

	April:	$107K On Target.
	May LE:	$ 39K On Target.

UK Leigh UFR target: >80%.

	April:	98%. On Target
	May LE:	96% On Target
	YTD	95% On Target.

Inventory (excl. SAB) Value $9000

	April:	$7197 On Target
	May LE:	$8035 On Target

- **Quality agreement discussed at the last meeting at Norbert. QA working on how to include segregation of pallets.**
- **Formal agreement to the 4% increase and 18 month deal still to be provided by ND.**
  - Meeting held with Charlie on contract changes and follow up telephone conversations.
  - The contract is to remain as a rolling contract. Amendments will be recorded in a separate document and signed and dated by both parties. To be completed.
- Confusion on the change to the Magnesium Stearate drum. Manufacture has returned to the old SKU. We are communicating with customers on the different pack sizes and availability.
- Customer AET will be auditing the Leigh warehouse on June 9th. This will be hosted by the QA team, Carolyne Huntington and Susan Beet.

API Freight

- Due to **issues on reliability of data from IPS** the EMEA team will be developing their own database of freight sales and updating that rather than relying on IPS. We will be included in the development of the internal database and reports. Timelines are not firm at this time.

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CRP Team

- The CRP Team officially transitioned to Supply Chain Operations on 06/01/11.
- Interviews have begun to find a temporary employee to fill the position vacated by Claudia Sharp as a result of her injury.
- Heather Dodson executed an extraordinary job on pallet position analysis for Argentina. The analysis was comprehensive and accurate and was accomplished in a very short time frame. She's a great asset to the team.
- We are traveling to Raleigh the week of 06/06 to work through issues and attempt to optimize the planning and distribution processes.
- We are working with the Planning team on a more reliable way to forecast parts and accessories manufactured in Cincinnati.
- CRP team will provide appropriate resources for both Project Shelburne and Cheetah as needed.
- The CRP team will be working with LATAM Sales and Marketing and region DCs to identify and facilitate optimization of inventory and processes.

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